

Guest Column

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A Case for India Whining

While reforms have benefited even the poorest, there is little doubt that inequality has increased, triggering discontent among the underprivileged

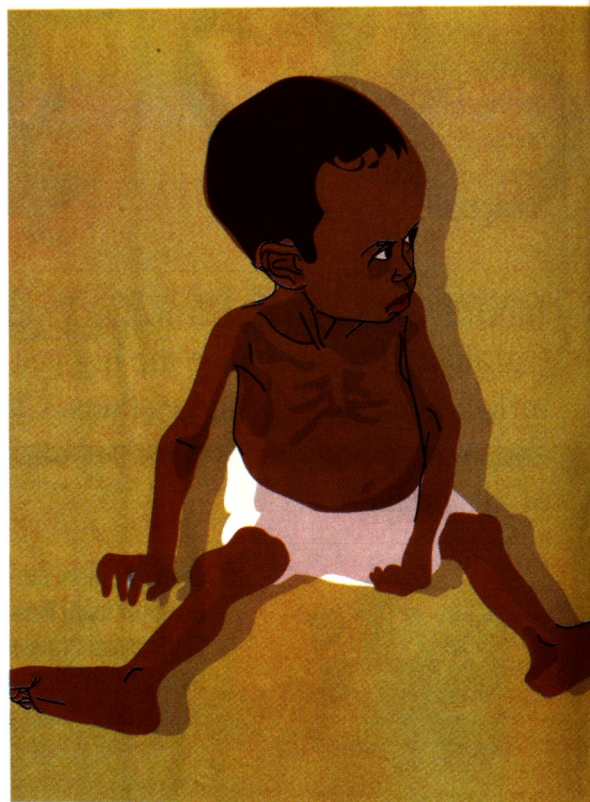
Roughly one-third of all children in India are underweight. A survey in a private school in Delhi has found that roughly one-third of the children there are obese. Of course there is inequality in the country.

The index values for most states, across most heads, show a rapidly improving country across all regions. But some states are improving faster and this changes their ranks. The change in overall ranks throws up a few surprises. Among small states/Union territories (UTs), Manipur has experienced a slip, while Tripura and Arunachal Pradesh have climbed. Among large states, Gujarat, Karnataka, Madhya Pradesh and Assam have climbed, while Haryana, Chhattisgarh, West Bengal have not done so well. Within individual heads, one notices Jammu & Kashmir, Haryana, Rajasthan and West Bengal's relative decline in agriculture, and improvements in Maharashtra, Andhra Pradesh and Uttarakhand; Uttar Pradesh's relative decline in consumer markets; Tamil Nadu and Andhra Pradesh's relative decline in education; West Bengal's and Madhya Pradesh's relative decline in governance; Chhattisgarh's decline and Bihar's relative improvement in health; Tamil Nadu's fall in infrastructure; the decline of Uttar Pradesh, Rajasthan and Jammu & Kashmir in investment, contrasted with improvements in Assam, Jharkhand and Orissa; and macroeconomic deterioration in Uttarakhand, Rajasthan and West Bengal, with improvements in Tamil Nadu and Assam.

The incremental value adds in this year's State of the States survey are our findings on inequality. Poverty is an absolute concept, while inequality is a relative one. It is possible for poverty or head count ratios to decline (so that everyone is better off), while inequality simultaneously increases, because income growth for richer segments is relatively more. But if inequality increases, it causes resentment because of perceptions that deprived classes, castes, women, ethnic or religious groups or geographical regions are not gaining enough from the trickle-down benefits of growth. 'India Whining' triumphs over 'India Shining' and the political system believes that reforms (which drive growth) don't have mass support. Inequality or poverty isn't about income or expenditure alone. It is also about participation in decision-making processes and unequal access to physical (water, sanitation, power, roads) and social (education, health) infrastructure. Inefficient delivery of these, usually public services, constrains access to income-enhancing opportunities the market throws up. However, our exercise is based on income and expenditure alone.

The debate over whether reforms have led to an increase

in inequality (or poverty) has often taken place in the absence of data. That's because large and reliable National Sample Surveys (NSS) become available roughly at five-yearly intervals. The last such NSS was conducted in 2004-05 and got mired in controversy because of methodological problems that prevented direct comparison between NSS 1999-2000 and NSS 2004-05. Comparability issues are avoided by ignoring NSS 1999-2000 and comparing NSS 1993-94 with NSS



1999-2000. This is a good indicator of the inequality story post-1991 reforms. While NSS collects data on income only for wage and salary earners, it does collect data on expenditure from all types of households. Since the rich save relatively more, income inequality is larger than expenditure inequality. In the Indian case, earlier estimates have shown that income inequality is about 25 per cent more than ex-